

<u>Year</u>	<u>Cash Flow</u>	<u>Cumulative Cash Flow</u>
0	-\$2,000	
1	\$375	
2	\$375	
3	\$375	
4	\$375	
5	\$375	
6	\$375	
7	\$375	
8	\$375	
9	\$375	
10	\$375	

Question 1

Calculate the Payback Period

Question 2

Calculate the Discounted Payback Period using discount rate of 10%

<u>Year</u>	<u>Cash Flow</u>	<u>Discounted Cash Flow</u>	<u>Cumulative Cash Flow</u>
0	-\$2,000		
1	\$375		
2	\$375		
3	\$375		
4	\$375		
5	\$375		
6	\$375		
7	\$375		
8	\$375		
9	\$375		
10	\$375		